

considerations reflect that risk. To accomplish this, she might invest in health care companies. Like factor investing in general (see chapter 14), finding assets that hedge inflation risk is specific to the inflation index that is relevant to the investor.

Let’s examine some assets usually considered to have some value as a hedge against inflation. We start with one that is not normally considered an inflation hedge and is ignored by many textbooks and investors.

3. Treasury Bills

Figure 11.3 is the same CPI inflation series as Figure 11.1, except it overlays the year-on-year returns of cash, or T-bills, in the dotted line. From 1952 to 2012, T-bills have returned 4.8% per year, about 1% above average inflation for the period, which was 3.7%. Crucially, the correlation of T-bill returns and inflation has been high, at 70.1%. We have seen high correlations of T-bill returns and inflation before—chapter 8 portrayed equity as a poor inflation hedge and in passing presented evidence that T-bills hedge inflation marvelously. Of all the “real” assets considered in this chapter—real bonds, commodities, and real estate—T-bills have had the highest correlation with inflation.

Of course, the long-term return of T-bills has been much lower than other asset classes. But inflation hedging is all about the co-movement of asset returns with inflation, not the average return. T-bills are highly correlated with inflation because monetary authorities respond to inflation in setting the short-term interest rate—technically the Fed funds rate, but the T-bill rate moves almost one for one with the Fed funds rate (see chapter 9). Furthermore, according to the Fisher

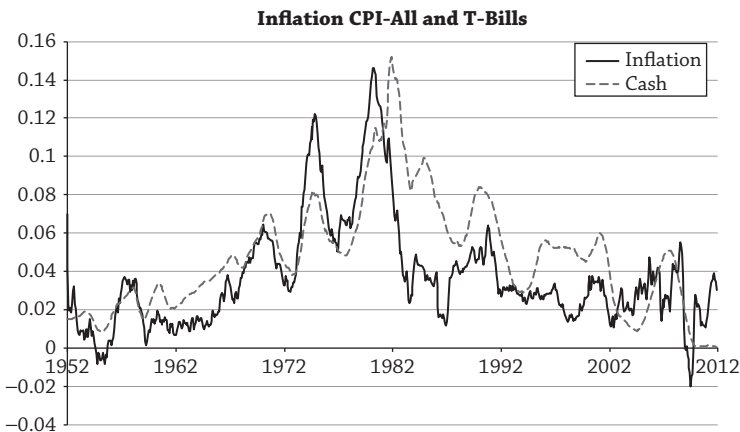


Figure 11.3